Dolph Research

EQUITY RESEARCH NOTE

ALPHABET INC.

STANDALONE MARCH 11, 2026

GOOGL — Current period: 2025-12-31 | Prior period: 2024-12-31

EXECUTIVE SUMMARY

ALPHABET INC.

Executive Summary

GOOGL closes 2025-12-31 with $403B of revenue (15.1% YoY) and $132B of net income (32.0% YoY). The period ended with an operating margin of 32.0% and a net margin of 32.8%, which frames how much of the reported scale translated into retained profitability. Revenue growth outpaced margin retention, so earnings improved without the same degree of operating efficiency.

Operating cash flow reached $165B (31.5% YoY), and after $91.4B of capital spending the business produced $73.3B of free cash flow (0.7% YoY). Cash generation exceeded reported earnings, a sign that the period converted accounting profit into liquidity with relatively little friction. Capital spending absorbed 22.7% of revenue, which helps frame how much internal cash flow remained available after reinvestment.

Liquidity and leverage are both relatively manageable, with a current ratio of 2.01x and debt-to-equity of 0.12x.

REVENUE	NET INCOME	OPERATING MARGIN	FREE CASH FLOW
$403B	$132B	32.0%	$73.3B
15.1%	32.0%	-0.2%	0.7%

Snapshot Scorecard

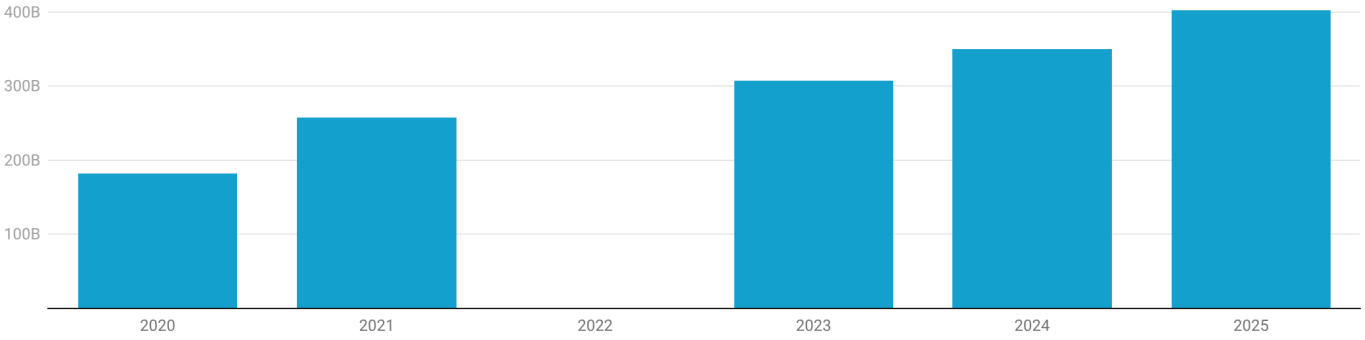
METRIC	CURRENT	PRIOR	CHANGE
Revenue	$403B	$350B	15.1%
Net Income	$132B	$100B	32.0%
Operating Margin	32.0%	32.1%	-0.2%
Debt-to-Equity	0.12x	0.04x	207.6%
Current Ratio	2.01x	1.84x	9.2%
Free Cash Flow	$73.3B	$72.8B	0.7%

Visual Highlights

GOOGL — Current period: 2025-12-31 | Prior period: 2024-12-31

ALPHABET INC. Revenue Trend

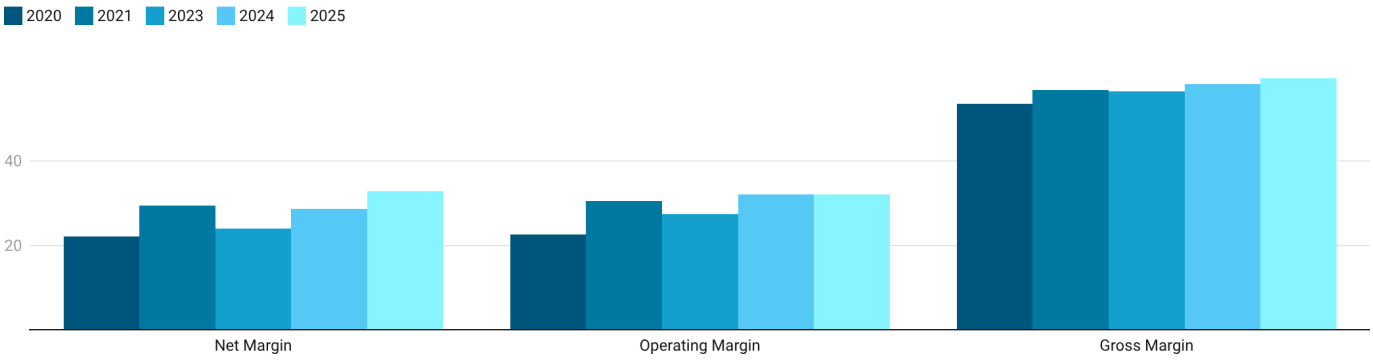
Annual revenue by fiscal year.



Created with Datawrapper

ALPHABET INC. Margin Trend

Gross, operating, and net margin by fiscal year.



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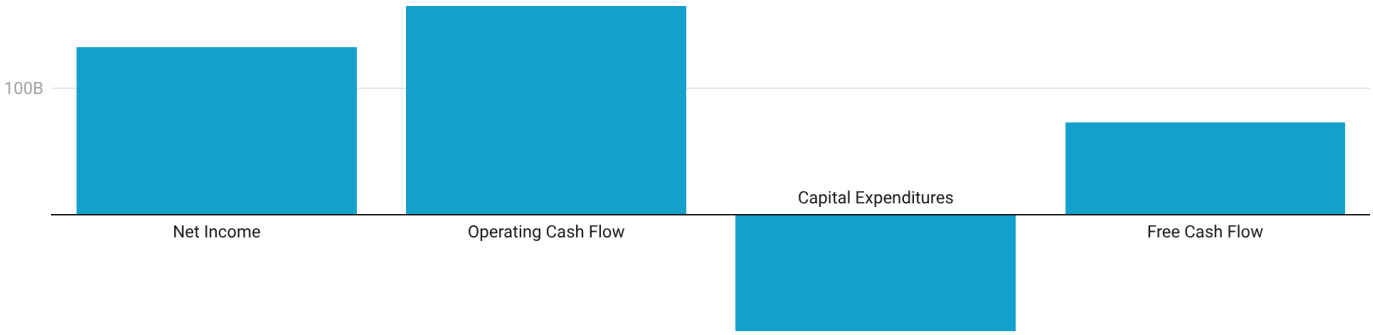
Visual Highlights (Cont.)

GOOGL — Current period: 2025-12-31 | Prior period: 2024-12-31

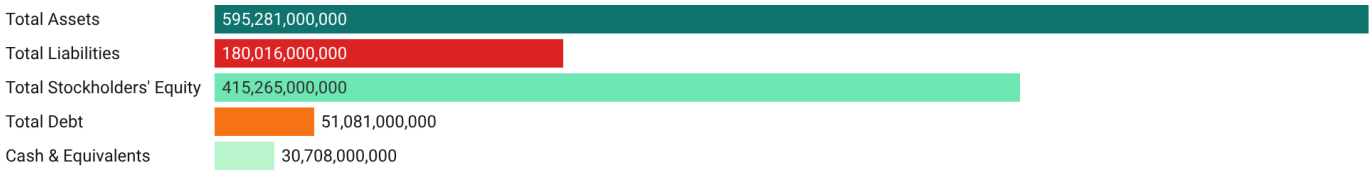
ALPHABET INC. Cash Flow Profile

Current-period earnings, operating cash flow, capital spending, and free cash flow.



ALPHABET INC. Balance Sheet Posture

Current-period balance-sheet scale, capital structure, and liquidity.



Visual Highlights (Cont.)

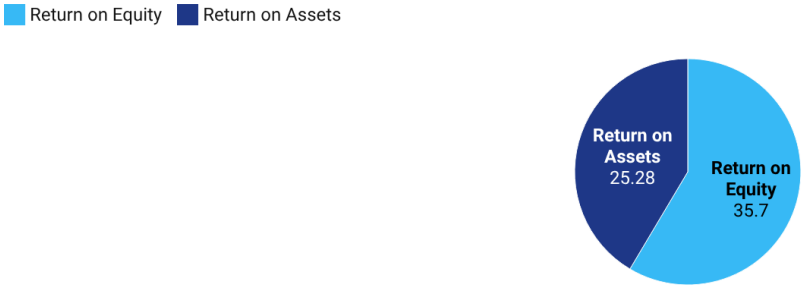
GOOGL — Current period: 2025-12-31 | Prior period: 2024-12-31

ALPHABET INC. Liquidity Profile

Current-period liquidity and leverage ratios.

ALPHABET INC. Profitability Profile

Current-period return on equity and return on assets.



Visual Highlights (Cont.)

GOOGL — Current period: 2025-12-31 | Prior period: 2024-12-31

ALPHABET INC. Per Share Metrics

Current and prior diluted EPS and book value per share.

Key Metrics Dashboard

GOOGL — Current period: 2025-12-31 | Prior period: 2024-12-31

Profitability

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Gross Profit	$240B	$204B	18.0%
Return on Equity	35.7%	32.9%	8.5%
Return on Assets	25.3%	23.5%	7.7%
Gross Margin	59.7%	58.2%	2.5%
Operating Margin	32.0%	32.1%	-0.2%
Net Margin	32.8%	28.6%	14.7%
Earnings Per Share (Diluted)	$10.81	$8.04	34.5%

Liquidity & Leverage (1/2)

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Current Assets	$206B	$164B	25.9%
Current Liabilities	$103B	$89.1B	15.3%
Cash & Equivalents	$30.7B	$23.5B	30.9%
Cash, Cash Equivalents & Restricted Cash	Not reported	Not reported	Not reported
Restricted Cash	Not reported	Not reported	Not reported
Cash, Cash Equivalents & Short-Term Investments	$127B	$95.7B	32.6%
Short-Term Investments	Not reported	Not reported	Not reported

Liquidity & Leverage (2/2)

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Marketable Securities	$96.1B	$72.2B	33.2%
Long-Term Debt	$49.1B	$12.0B	309.0%
Short-Term Debt	$2.00B	$999M	99.8%
Total Debt	$51.1B	$13.0B	293.0%
Current Ratio	2.01x	1.84x	9.2%
Debt-to-Equity	0.12x	0.04x	207.6%

Key Metrics Dashboard (Cont.)

GOOGL — Current period: 2025-12-31 | Prior period: 2024-12-31

Scale

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Revenue	$403B	$350B	15.1%
Gross Profit	$240B	$204B	18.0%
Operating Income	$129B	$112B	14.8%
Net Income	$132B	$100B	32.0%
Total Assets	$595B	$450B	32.2%
Total Liabilities	$180B	$125B	43.8%
Stockholders' Equity	$415B	$325B	27.7%

Cash Flow & Per Share

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Operating Cash Flow	$165B	$125B	31.5%
Cash at End of Period (cash-flow statement)	$30.7B	$23.5B	30.9%
Capital Expenditures	-$91.4B	-$52.5B	74.1%
Free Cash Flow	$73.3B	$72.8B	0.7%

Commentary

GOOGL — Current period: 2025-12-31 | Prior period: 2024-12-31

What stands out

Across the annual periods shown here, net income provides the clearest recurring pattern, with the latest value at $132B and a compound annual growth rate of 21.5%. The multi-year progression is steady enough to suggest an improving operating profile. The main trend relationship is therefore one of scale improving faster than margin retention.

Cash generation remained constructive, with $165B of operating cash flow translating into $73.3B of free cash flow. Balance-sheet pressure should be read through both leverage (0.12x debt-to-equity) and liquidity (2.01x current ratio), because those measures do not always point to the same conclusion about financial flexibility.

Watch items

No single balance-sheet or earnings issue dominates the reporting period used in this note. The main areas to monitor remain profitability at 32.0% and free cash flow at $73.3B, because those lines usually determine whether the balance sheet is strengthening or merely holding steady.

Analyst interpretation

The most constructive part of GOOGL's profile is straightforward: Gross margin of 59.7% leaves the company with a reasonable buffer to absorb operating expenses. ROE of 35.7% points to very strong earnings generation relative to book equity. That matters because leverage (0.12x debt-to-equity), liquidity (2.01x current ratio), and free cash flow ($73.3B) need to be read together rather than in isolation.

This note is anchored to the annual period ending 2025-12-31, with the prior period set at 2024-12-31. Metrics without the required statement support remain blank rather than estimated, so the analysis stays tied to the filing evidence rather than to gap-filled assumptions.

Appendix

GOOGL — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix A — GOOGL Income Statement

METRIC	FY2025	FY2024
Revenue	$403B	$350B
Cost of Revenue	$163B	$146B
Gross Profit (derived)	$240B	$204B
Operating Expenses	$274B	$238B
Operating Income	$129B	$112B
Net Income	$132B	$100B
EPS (Basic)	$10.91	$8.13
EPS (Diluted)	$10.81	$8.04
Weighted Avg Shares (Diluted)	12.2B	12.4B
R&D Expenses	$61.1B	$49.3B
Pretax Income	$159B	$120B
Income Tax Expense	$26.7B	$19.7B

Appendix B — GOOGL Balance Sheet (Part 1/2)

METRIC	FY2025	FY2024
Shares Outstanding	12.1B	12.2B
Total Assets	$595B	$450B
Total Liabilities	$180B	$125B
Total Stockholders' Equity	$415B	$325B
Current Assets	$206B	$164B
Current Liabilities	$103B	$89.1B
Cash & Equivalents	$30.7B	$23.5B
Cash, Cash Equivalents & Short-Term Investments	$127B	$95.7B
Total Debt (derived)	$51.1B	$13.0B
Long-Term Debt	$49.1B	$12.0B

Appendix (Cont.)

GOOGL — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix B — GOOGL Balance Sheet (Part 2/2)

METRIC	FY2025	FY2024
Short-Term Debt	$2.00B	$999M
Accounts Receivable	$62.9B	$52.3B
Marketable Securities	$96.1B	$72.2B
Other Current Assets	$16.3B	$15.7B
Accounts Payable	$12.2B	$7.99B
Accrued Expenses	$55.6B	$51.2B
Other Current Liabilities	$24.6B	$23.2B
Retained Earnings	$324B	$245B
AOCI	-$1.92B	-$4.80B
Goodwill	$33.4B	$31.9B

Appendix C — GOOGL Cash Flow Statement

METRIC	FY2025	FY2024
Operating Cash Flow	$165B	$125B
Capital Expenditures	-$91.4B	-$52.5B
Investing Cash Flow	-$120B	-$45.5B
Financing Cash Flow	-$37.4B	-$79.7B
Dividends Paid	-$10.0B	-$7.36B
Share Repurchases	-$45.7B	-$62.2B
Depreciation & Amortization	$21.1B	$15.3B
Depreciation	$21.1B	$15.3B
Debt Repayment	-$32.4B	-$12.7B
Net Change in Cash	$7.24B	-$582M
Cash at End of Period (cash-flow statement)	$30.7B	$23.5B

Data Sources & Notes

TICKER	CIK	ACCESSION	FORM	FILED	PRIMARY DOCUMENT
GOOGL	0001652044	0001652044-26-000018	10-K	2026-02-05	https://www.sec.gov/Archives/edgar/data/1652044/000165204426000018/goog-20251231.htm

Method Notes

Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.

Standalone metrics use the selected current and prior annual periods for the issuer.

The narrative summarizes the filing-backed figures shown elsewhere in the report and does not alter the calculations.

Report date: 2026-03-11.

Disclaimer: For research use only; not investment advice.